

how close he was to a deep truth, “Thorp, my advice is to buy low and sell high.”

We found that this market neutral strategy had about a 20 percent annual return before costs. It had fairly high risk because the two sides did not track as closely as we would have liked. There were two issues: One was to get the risk down, and the other was to get the transaction costs down. We felt we could get the cost down and that the risk wouldn’t be a problem because the strategy would be part of a much larger portfolio. So it seemed like a viable strategy.

You settled on using the most up and most down stocks as the most effective indicators, but I’m curious as to whether any of the other indicators you tested also showed efficacy.

They did. For that period of time, we found a very marked pattern for stocks depending on whether or not they paid dividends. Stocks that paid no dividends seemed to have above-normal returns. Stocks that paid low dividends had below-normal returns, but as the dividend payout went up, the total return tended to increase as well. There was effectively a U-shape curve that favored buying stocks with no dividends and high dividends and selling stocks with low dividends. Earnings surprises also seemed to have an impact for a considerable period of time—weeks and even months—suggesting the market was slow to assimilate this type of information. These were not all original discoveries. We combed the literature and tried to stay current in the network of people conducting this type of research. Combining the research available from other sources with our own original ideas gave us a fairly long list of indicators that seemed to have an edge. But Princeton Newport was doing so well on a risk-adjusted basis with the strategies it had already that we put the statistical arbitrage strategy aside. It wasn’t clear that the marginal improvement that could have been obtained by adding statistical arbitrage to the existing strategies warranted diverting the resources that would have been needed for its implementation.

When did you turn back to it again?

In 1985, we placed an ad in the *Wall Street Journal* looking for people who had reliable ideas that would produce provable excess returns. One